

Propelling India's Growth Through Trade

Trade concentrations exist everywhere, and they are a source of both strength and worry. India's business and policy leaders can find effective strategies that reimagine, rather than retreat, from them

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WE ALL RELY ON global trade. And despite the many disruptions to the global trading system over the past few years—by conflict, climate change, the Covid-19 pandemic and lockdowns—countries are still remarkably interconnected. Recent research from the McKinsey Global Institute (MGI) shows that every region in the world relies on imports for more than 25% of at least one important type of good.

Self-sufficiency is a mirage, and it ignores the benefits that this interconnectedness brings: improving efficiency, increasing global product availability, and fostering economic growth. India is no different. In fact, the country's trade interconnectedness should be seen as a strength powering its growth in the next few years.

These benefits come not just from trade connections but also from trade concentrations. We estimate that about 40% of global trade by value is concentrated. By this, we mean that importing economies rely on three or fewer nations for this share of global trade. Furthermore, 25% of this is concentrated at a global level. This means that for some products, such as laptops, soybean,



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INDIA SHOULD TAKE A SCENARIO-BASED APPROACH TO STRESS TEST ITS TRADE RELATIONSHIPS AND PRIORITISE PLANS OF ACTION

or iron ore, there are only a few countries that export nearly all of them.

Why do these trade concentrations exist? Natural endowments play a large part. For example, Australia and Brazil have the world's largest iron ore reserves, which are relatively high-grade and cheap to extract. Other concentrations exist because of past investments that allow for huge economies of scale. China, for example, has established a significant competitive advantage in laptop production in part through lower factor costs and an enabling environment for human capital, infrastructure, and policy.

THE STATE OF PLAY FOR INDIA'S TRADE

India's trade is concentrating, but this is not necessarily bad news. For example, India's trade with the US has grown 9 per cent every year from 2010 to 2022 to reach a figure of \$123 billion in FY22. India's trade with fast-growing Indonesia similarly grew 7% on average every year from 2010 to 2022, to reach a figure of \$30 billion in FY22. India has also become an energy exporter in recent years, growing at a compound annual growth rate of 20% over just the past four years.

When it comes to the trade in goods and services, India again